

Balancing Public Value and Business Interests in Local Economic Development



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Introduction

Local economic development is one of the clearest places where public management becomes practical. A city may want new investment, jobs, stronger tax revenue, and long term growth, but those goals do not remove the need for accountability, fairness, transparency, and careful analysis. When a local government considers tax abatements or other incentives, the decision is not only about whether a business project looks promising. It is also about whether public resources are being used responsibly, whether the public purpose is clear, whether assumptions are reasonable, and whether decision makers can understand the tradeoffs before taking action.

This paper uses local economic development as a public management case, with the City of Oak Ridge as the practical setting, where I have worked as the Policy and Data Analytics Intern this summer. The analysis examines the broader management questions that appear when public administrators help evaluate incentives and explain findings to public officials. The paper also uses sales tax automation as a smaller example of public management innovation because technical tools can shape how public organizations understand trends and support decisions.

The central argument is that local economic development incentives require more than financial calculation. They require practical judgment. Public managers must balance public value and business interests while also protecting evidence, accountability, neutrality, and trust. This argument connects directly to several themes from the course, including the relationship between public administration and public management, decision making, strategic management, network governance, accountability, and innovation.

Background

This paper grows out of two projects I worked on with the City of Oak Ridge. The first project focused on economic development analysis. In that work, I reviewed policy documents, fiscal information, and incentive related materials to understand how business development proposals could affect the city. The work required more than reading numbers or summarizing documents. It required careful attention to what the city needed to protect, what a business might need to make investment possible, and how public officials could be given useful information without overstating the certainty of any estimate.

This experience made the subject of tax abatements and incentives feel very practical. A tax abatement is not only a financial adjustment. It is connected to public revenue, business decisions, future growth, and public confidence in local government. While a business may view an incentive as part of making a project feasible, the city must also consider whether the public benefit is clear and whether the decision can be explained responsibly. My role in this setting helped me see that public management often happens in the space between technical analysis and public judgment.

The second project involved sales tax automation. This work was more technical, but it was still connected to public management. The goal was to help organize recurring sales tax data in a cleaner and more consistent way so that trends could be reviewed more easily. This kind of work may appear separate from economic development, but it supports the same broader responsibility. Local governments need reliable information to understand fiscal patterns, explain changes, and make better decisions. A dashboard or automated process is useful only when it improves clarity and reduces confusion.

Together, these two projects shaped the direction of this paper. The economic development work showed me how difficult it can be to balance city interests and business interests in a neutral and responsible way. The sales tax automation work showed me that internal management systems also matter because data quality affects how public officials understand problems and opportunities. Both experiences connect directly to the course themes of accountability, decision making, innovation, strategy, and network governance. They also show why public administration and public management cannot be separated in practice. Local government work requires both public values and practical performance.

Public Administration and Public Management

One important course theme was the relationship between public administration and public management. Public administration emphasizes governance, legality, accountability, due process, and democratic values. Public management emphasizes performance, results, efficiency, effectiveness, and innovation. These two perspectives are sometimes treated as separate, but local economic development shows why they must work together. A city cannot focus only on rules and avoid performance. At the same time, a city cannot focus only on performance and ignore public trust.

Economic development incentives sit directly between these two sides. From a public management perspective, incentives can be seen as tools for improving local economic outcomes. They may support investment, encourage business expansion, strengthen employment opportunities, and increase future tax capacity. From a public administration perspective, incentives must also be justified through public values. They involve public resources, public authority, and public accountability. A technically attractive project can still create concern if the public purpose is unclear, if the benefits are overstated, or if the process does not allow proper review.

Moore (1995) argues that public managers must think about public value, legitimacy and support, and operational capacity. This framework fits local economic development well. Public value asks whether the incentive serves a broader public purpose. Legitimacy and support ask whether elected officials, public institutions, and the affected community can reasonably accept the decision. Operational capacity asks whether the city has the data, staff, legal structure, and administrative ability to carry out the decision responsibly. When one of these elements is missing, an incentive can become difficult to defend even if the project appears useful.

This is why public work requires judgment more than textbook answers. There is no simple formula that can decide every economic development case. Each case involves different businesses, revenue expectations, community effects, infrastructure needs, timelines, and risks. Public managers therefore need a way of thinking that is disciplined but not mechanical.

Local Economic Development as a Public Management Case

Local economic development is a dense policy area. It involves elected officials, city staff, businesses, community members, regional partners, and sometimes state or federal agencies. It also involves different goals that may not always fit easily together. A city may want to attract investment, protect public revenue, maintain fairness among businesses, support redevelopment, and preserve public confidence at the same time. These goals can complement one another, but they can also create tension.

Tax abatements and incentives are especially important because they ask local governments to give up or delay some revenue in the hope of receiving broader benefits later. Bartik (2019) notes that evaluating incentives depends heavily on details such as whether the incentive actually affects business location or expansion decisions, whether jobs increase local income, and whether future tax gains exceed public costs. Peters and Fisher (2004) are more skeptical and argue that economic development incentives often fail to produce the promised results. Taken together, these sources do not suggest that all incentives are wrong. They suggest that incentives require careful analysis, modest claims, and realistic expectations.

In the City of Oak Ridge context, the practical challenge is to balance city interests with business interests. Businesses may need predictability, clarity, and support before making major investment decisions. A city, however, must consider more than the business case. It must think about fiscal responsibility, long term public benefit, fairness, opportunity cost, and the precedent created by an incentive decision. The public manager's role is not to advocate automatically for the business or automatically against the business. The role is to clarify the facts, explain the assumptions, identify the risks, and help decision makers understand what is at stake.

This kind of work also shows why public management is not only about producing results. Results matter, but results must be understood in relation to public values. A project that creates private benefit without a clear public return does not meet the same standard as a project that strengthens employment, expands the local tax base, improves infrastructure use, or supports a broader community goal. The central question is not whether economic growth is good in general. The central question is whether a specific public action is justified in a specific situation.

Decision Making in Tax Abatements and Incentives

Bozeman and Pandey (2004) argue that decision content affects the decision process. Different types of public decisions require different criteria, timelines, information, and levels of review. This point is very useful for economic development incentives because these decisions contain both technical and political elements. The technical side includes revenue estimates, fiscal impact, data quality, legal conditions, and feasibility. The political side includes public expectations, fairness, trust, and the relationship between government and business interests.

A tax abatement decision cannot be treated as a purely technical calculation. Numbers are important, but the numbers depend on assumptions. A fiscal estimate may depend on projected investment, expected sales, future property value, job creation, or the timing of revenue changes. Each assumption should be explained clearly because small changes in assumptions can affect the final interpretation. Public managers must therefore be careful not to present estimates as guarantees. A responsible analysis should help officials see both the likely benefits and the uncertainties.

At the same time, an incentive decision cannot be treated as purely political. Public managers should not begin with a preferred answer and then search for evidence to support it. The analysis should separate facts from preferences as much as possible. In practice, this means asking whether the incentive has a public purpose, whether the expected benefits are plausible, whether the cost is reasonable, and whether the city has enough information to support the decision. It also means being honest about what is not known.

Bozeman and Pandey's work also helps explain why decision processes should fit the decision at hand. A routine administrative decision may not require the same level of review as a major incentive decision. A major incentive decision may require more documentation, clearer assumptions, more legal review, more explanation to public officials, and more attention to accountability. A decision that affects future revenues and public trust should not be rushed simply because a project is attractive or urgent.

Evaluating Incentives as a Management Process

A useful way to make incentive decisions more responsible is to treat evaluation as a management process rather than as a single calculation. The first step is to define the public problem or opportunity. A city should be clear about whether the incentive is meant to support job growth, redevelopment, business retention, reuse of underutilized property, future tax capacity, or another public goal. Without this starting point, the analysis can become too dependent on the appeal of the project itself. A business proposal may be attractive, but public management requires asking what public purpose the city is trying to serve.

The second step is to identify the cost and the expected return in a careful but modest way. Bartik (2019) emphasizes that incentives should be evaluated based on whether they change business behavior and whether the public benefits exceed the costs. This matters because an incentive is not automatically successful just because a project happens after the incentive is offered. The important question is whether the incentive helped produce a public benefit that would not have happened in the same way otherwise. That question is difficult to answer with certainty, so public managers should avoid language that makes estimates sound stronger than they are.

The third step is to examine distribution and fairness. Peters and Fisher (2004) raise concern that economic development incentives often fail to produce promised results. This concern is not only financial. It also raises questions about fairness among businesses and residents. When one business receives support, other businesses may wonder why similar help is not available to them. Residents may also question whether public resources are being used for broad community benefit or private advantage. These questions do not mean incentives should never be used. They mean the city should be prepared to explain why a particular incentive is justified.

The fourth step is to connect the analysis to implementation. A decision may look responsible when it is approved, but it still needs monitoring. If an incentive is connected to expected investment, job creation, or future revenue, then the city needs a way to review whether those expectations remain reasonable over time. This connects directly to public accountability because the promise of future benefit should not disappear after approval. Follow through is part of responsible management.

The last step is communication. Public officials need analysis that is clear enough to support judgment. Too much technical detail without explanation can make the analysis difficult to use. Too little detail can hide uncertainty. The public manager has to translate complex information into a form that supports responsible decision making. This is one of the most practical lessons of the course. Public management is not only about producing information. It is about producing information that can be understood, questioned, and used.

Strategic Management and Public Value

Strategic management adds another layer to the analysis. Bryson (1988) explains that strategic planning in public and nonprofit organizations should focus attention on what is important, help set priorities, and generate action. Poister, Pitts, and Edwards (2010) describe strategic management as a broader process that includes strategy formulation, implementation, resource management, control, and evaluation. These ideas matter because economic development incentives should not be isolated decisions. They should fit into a broader understanding of what the city is trying to accomplish.

Incentives become more defensible when they connect to a public strategy. A city may have goals related to redevelopment, business retention, diversification, infrastructure use, or long term fiscal stability. If an incentive supports those goals, the public purpose becomes easier to explain. If the connection is weak, the incentive may look like a one time favor rather than a public management tool. Strategic management therefore helps make the difference between reactive deal making and purposeful public action.

The public value framework also helps avoid narrow thinking. An incentive may appear efficient if it attracts investment quickly, but public value requires a broader view. The city must consider legitimacy, public support, administrative capacity, transparency, and fairness. A project that looks good in financial terms can still create governance problems if the process is unclear or if public officials cannot explain why the incentive was appropriate. Public value depends on both outcome and process.

Strategic management also connects to implementation. A decision to offer an incentive is only the beginning. The city must monitor whether agreed conditions are met, whether reporting is accurate, and whether the expected benefits remain realistic. This is where public management becomes ongoing rather than episodic. A public manager must think not only about approval, but also about follow through.

Implementation and Monitoring after Approval

An incentive decision does not end when public officials approve it. In many ways, approval only begins the management responsibility. A tax abatement or incentive is usually justified by expected future benefits, such as investment, jobs, redevelopment, or stronger fiscal capacity. Those benefits may take time to appear, and they may depend on conditions that can change. Because of that, implementation and monitoring should be treated as part of the original decision rather than as an afterthought.

This point connects strongly to O'Toole's work on implementation and networks. Public programs often operate through relationships among many actors, and the success of a decision depends on how those actors carry out their roles over time (O'Toole, 1997). In local economic development, the city may approve an incentive, but the final result depends on business investment decisions, market conditions, administrative follow through, legal requirements, reporting, and sometimes cooperation with other public or regional partners. A decision that looks reasonable on paper can still lose public value if the implementation process is weak.

Monitoring also protects accountability. If an incentive is connected to expected public benefits, the city should have a way to review whether those expectations are being met. This does not mean

that every outcome must be perfect or that every projection must happen exactly as expected. Economic development always involves uncertainty. However, public managers should be able to explain whether the project is moving in the expected direction, whether conditions have changed, and whether the original assumptions remain reasonable. Without monitoring, the public organization may approve an incentive and then lose sight of the public purpose that justified it.

A practical monitoring process should include clear records, regular review, and understandable reporting. The city should know what was promised, what was estimated, what conditions were attached, and what information will be needed later. This connects to Dubnick's accountability argument because accountability is not only about performance results. It is also about answerability and the ability to explain decisions and consequences (Dubnick, 2005). If public officials cannot later understand what was expected or why an incentive was recommended, accountability becomes weaker.

Implementation also creates an opportunity for learning. Not every incentive decision will produce the same result, and not every estimate will be equally accurate. Over time, a city can learn which assumptions were realistic, which kinds of projects created stronger public benefits, and which parts of the review process need improvement. This makes economic development analysis a continuing management practice rather than a one time calculation. Public managers can use past experience to improve future criteria, documentation, and communication.

This is also where the sales tax automation work connects back to economic development. Better data systems can support monitoring by making fiscal patterns easier to observe over time. If sales tax trends, revenue changes, or other fiscal indicators are organized clearly, decision makers can better understand whether economic conditions are improving, weakening, or changing in unexpected ways. The value of automation is not only speed. It is also continuity. A consistent process helps the organization remember, compare, and explain.

Implementation therefore strengthens the main argument of this paper. Tax abatements and incentives require careful judgment before approval, but they also require responsible management after approval. Public value depends on both stages. A city must be able to evaluate a proposal, make a defensible decision, and then follow the decision through in a way that protects trust. In this sense, implementation is not separate from accountability. It is one of the main ways accountability becomes real.

Accountability and Political Neutrality

Accountability is central to local economic development because incentives use public authority in ways that affect private actors and public resources. Dubnick (2005) argues that accountability is often connected to performance, but the relationship is complex. Accountability is not only about showing that an outcome occurred. It is also about explaining how decisions were made, why certain choices were reasonable, and who can answer for the consequences.

In economic development work, accountability requires clear documentation. Assumptions should be recorded. Data sources should be understandable. Confidential information should be protected. The reasoning behind the analysis should be clear enough for public officials to evaluate. This does not mean that every detail must be released publicly when legal or business confidentiality concerns exist. It means that secrecy should not be used to avoid responsibility. There is a

difference between protecting confidential information and making a decision impossible to understand.

Political neutrality is also important. My main personal challenge in this area is staying objective when economic development involves both city interests and business interests. Both sides can have legitimate concerns. A business may need a clear and predictable environment before making an investment. A city must protect public resources and community interests. In that space, the public manager should not treat neutrality as silence. Neutrality means focusing on evidence, assumptions, fiscal impacts, and limitations without allowing the analysis to sound like advocacy for either side.

This is easier to say than to practice. Economic development decisions can involve pressure because the stakes are visible. Public officials may want timely information. Businesses may want clarity. Community members may care about fairness and public return. A public manager has to communicate carefully with all of these pressures in mind. The goal is not to remove politics from public work, because public work naturally involves political authority and public choices. The goal is to handle political context without allowing the analysis to become political advocacy.

Network Governance and Metagovernance

Economic development often happens through networks. O'Toole (1997) argues that public administrators must take networks seriously because many public programs operate through relationships among public agencies, private organizations, nonprofit actors, and other stakeholders. This point applies strongly to local economic development. A city does not create growth alone. Businesses, regional agencies, educational institutions, utilities, developers, and community groups may all influence whether an economic development effort succeeds.

Network governance helps explain why collaboration matters. Complex public problems often require shared knowledge and shared resources. A city may understand public finance and land use. A business may understand market conditions and investment needs. Regional partners may understand workforce, infrastructure, or larger development trends. Bringing these perspectives together can improve problem solving and create stronger ownership of outcomes.

However, collaboration is not automatically democratic or fair. Sørensen and Torfing (2009) argue that governance networks can help address complex problems, but they also create concerns about transparency, accountability, conflict, and democratic control. Their concept of metagovernance is useful because it shows that networks still need guidance. Public managers and elected officials may need to shape who participates, how information is shared, how conflict is managed, and how decisions remain connected to public authority.

Larsson (2020) adds an important caution. The language of collaboration, participation, and deliberation can sometimes hide power differences. A process may appear open while stronger actors still control the agenda. This is relevant to economic development because businesses, public officials, and community members may not have equal knowledge, resources, or influence. A public manager should therefore treat collaboration as necessary but not automatically sufficient. The quality of collaboration depends on structure, transparency, and accountability.

Metagovernance is especially useful in local economic development because the city must often work with outside actors while still protecting public responsibility. The city can collaborate with

businesses, but it cannot simply become another private partner. It must remain anchored in public purpose. Clear criteria, defined roles, documented assumptions, and public explanation help keep collaboration from drifting away from accountability.

Public Management Innovation through Sales Tax Automation

The sales tax automation work provides a smaller but important example of public management innovation. Borins (2001) found that many public management innovations involve new information technology, process improvement, partnerships, and responses to internal problems or opportunities rather than only crises. This fits the practical value of automating sales tax work. The goal is not only to make a spreadsheet cleaner or a dashboard more attractive. The goal is to improve how information moves through the organization and how decision makers understand fiscal trends.

Sales tax data can support public management when it is organized clearly and updated consistently. A dashboard can help identify trends, compare periods, reduce manual errors, and make reporting more efficient. It can also support better questions. Instead of spending most of the time cleaning and arranging data, staff can spend more time asking what changes mean, whether patterns are stable, and how information should be explained.

This connects directly to Bozeman and Pandey's discussion of information technology decisions. Technology decisions may involve technical feasibility, usefulness, cost considerations, red tape, and long term stability. In local government, even a small technical improvement can have broader administrative consequences. If data systems are confusing, decision makers may have less confidence in the information. If data systems are clear, transparent, and repeatable, the organization can make decisions with better support.

Still, technology is not neutral by itself. A dashboard can simplify information in helpful ways, but it can also hide assumptions if the process is not documented. Public management innovation should therefore include explanation, validation, and review. Good automation should make public work easier to understand, not harder to question. In this sense, sales tax automation supports the same values that matter in economic development analysis. It strengthens evidence, improves reporting, and helps public officials make better informed decisions.

Recommendations

A strong local economic development process should begin with clear public criteria. Incentives should be connected to public goals such as job creation, fiscal stability, redevelopment, infrastructure use, or community benefit. Without clear criteria, incentive decisions can appear inconsistent or overly dependent on the strength of a particular request. Clear criteria do not remove judgment, but they make judgment easier to explain. Clear criteria should not be treated as rigid formulas. Economic development cases differ, and public managers still need room for judgment. However, criteria can create a shared starting point. They help staff, elected officials, and outside applicants understand what the city values and what kind of public benefit matters. Criteria also reduce the risk that decisions appear inconsistent. In a politically sensitive area like incentives, consistency is part of public trust.

A second recommendation is to document assumptions carefully. Fiscal estimates should identify what is known, what is estimated, and what depends on future behavior. Decision makers should understand that projected benefits are not guarantees. This is especially important when an incentive reduces or delays revenue in the short run with the expectation of public benefit later. Strong documentation protects both the organization and the public. This documentation should include the main data sources, the assumptions behind estimates, and the limitations of the analysis. For example, if a fiscal estimate depends on future sales, property value, employment, or timing, those assumptions should be visible to decision makers. This does not make the future certain, but it makes uncertainty manageable. It also protects the public manager because the recommendation is based on transparent reasoning rather than personal preference.

A third recommendation is to balance confidentiality with accountability. Some business information may need protection, especially during negotiations or project review. However, public officials still need enough information to understand the basis of a recommendation. The broader public also deserves a clear explanation of the public purpose when possible. The challenge is not to disclose everything. The challenge is to explain enough for the decision to remain legitimate.

A fourth recommendation is to treat collaboration as a managed process. Economic development networks can be valuable, but they need structure. Public managers should clarify roles, expectations, timelines, and channels of communication. Metagovernance matters because collaboration without structure can create confusion, unequal influence, or weak accountability. A city can work productively with businesses and partners while still keeping public responsibility at the center.

The final recommendation is to continue strengthening data systems. Sales tax automation is one example of how better internal processes can support public management. Similar tools can help with fiscal monitoring, trend analysis, reporting, and evaluation. However, innovation should remain connected to public value. A tool is useful only when it improves understanding, supports responsible decisions, or strengthens trust in public work. Data systems should also be designed with review in mind. A dashboard or automated file should not only produce a final number. It should allow staff to trace where the number came from and why it changed. This is especially important in local government because staff turnover, time pressure, and recurring reporting needs can weaken institutional memory. Automation can preserve knowledge when it is built carefully.

Conclusion

Local economic development shows why public administration and public management must work together. A city must care about growth, investment, and performance, but it must also care about legality, fairness, accountability, transparency, and public trust. Tax abatements and incentives are not just financial arrangements. They are public management decisions that require evidence, judgment, and careful explanation.

The City of Oak Ridge setting helps make these ideas practical. Economic development analysis requires balancing city interests with business interests while protecting public resources and confidential information. Sales tax automation shows that even technical work can support better public management when it improves data quality, reporting, and decision making. Both examples show that public work is rarely solved by a single theory or rule.

The strongest lesson from this analysis is that public value depends on how decisions are made as much as what decisions produce. Incentives may support economic growth, but they must be connected to a public purpose and supported by accountable processes. Collaboration may help solve complex problems, but it must be managed carefully so that power, fairness, and transparency are not ignored. Innovation may improve performance, but it must remain understandable and reviewable. Public management is therefore not only about doing things efficiently. It is about making practical decisions that can be trusted.

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